HOWDEN JOINERY PROPERTIES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

REGISTERED NUMBER: 5656171

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HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their annual report and the audited financial statements of the Company for the 52 weeks to 24 December 2011

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Howden Joinery Group Plc and operates as part of the Howden Joinery Group Plc Group ("the Group") The Company's principal activities are owning, leasing, and managing properties on behalf of Howden Joinery Limited, a fellow Group subsidiary, for which the Company receives income from Howden Joinery Limited The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account, the Company's profit after tax is £585,000 *(2010 £647,000)* The directors are satisfied with the progress of the business and do not recommend the payment of a dividend *(2010 nil)* The balance sheet shows the Company's financial position at the end of the year, which the Directors consider to be satisfactory

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes this Company, is discussed in the Group's Annual Report which is available at http //www howdenjoinerygroup com/ and which does not form part of this Report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Group, given that the Company's principal activities are managing properties on behalf of other Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

The Company's freehold property acts as security on the Group's asset backed bank facility The security on this asset could be called upon if the Group were to breach its borrowing facility or covenants

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show that the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future On this basis the Directors of the Company believe that the security on the facility could not be called upon

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future,based on written commitment of financial support from its ultimate parent Company, Howden Joinery Group plc, which is legally binding For this reason the directors continue to adopt the going concern basis in preparing the financial statements

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

M Ingle
C Youell
J McManus
M Robson

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions Payments are actually made by another group company, Howden Joinery Limited Information regarding creditor days ratios can be found in that company's accounts

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period *(2010 nil)*

AUDITOR

Each person who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditor is aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be reappointed as auditor in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Youell
Director
12th March 2012

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the year ended 24 December 2011 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 15 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements[1]

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the company's affairs as at 24 December 2011 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam - Senior statutory auditor
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, UK
14 March 2012

HOWDEN JOINERY PROPERTIES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

	NOTES	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Rental income		33,235	33,128
Cost of sales		(30,365)	(30,056)
Gross profit		2,870	3,072
Administrative expenses		(1,244)	(2,051)
Operating profit		1,626	1,021
Loss on disposal of properties		-	(67)
Profit on ordinary activities before finance charges and taxation		1,626	954
Finance charges	5	(2)	(4)
Profit on ordinary activities before taxation		1,624	950
Tax on profit on ordinary activities	6	(1,039)	(303)
Profit for the financial period		585	647

The results for the current and prior periods derive from continuing operations

There are no recognised gains or losses in the current and prior financial period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented

HOWDEN JOINERY PROPERTIES LIMITED
BALANCE SHEET AT 24 DECEMBER 2011

	NOTES	24 December 2011		25 December 2010	
		£000	£000	£000	£000
Fixed assets					
Tangible assets	7		**14,961**		14,250
Current assets					
Debtors	8	**23,197**		17,947	
Current liabilities					
Creditors amounts falling due within one year	9	**(35,522)**		(30,008)	
Net current liabilities			**(12,325)**		(12,061)
Total assets less current liabilities			**2,636**		2,189
Provisions for liabilities and charges	10		**(427)**		(565)
Net assets			**2,209**		1,624
Capital and reserves					
Called up share capital	12		-		-
Profit and loss account	13		**2,209**		1,624
Shareholders' funds			**2,209**		1,624

Approved by the Board of Directors and signed on their behalf by

C Youell
Director
12th March 2012

1 ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have also been prepared on the going concern basis as discussed in the Directors' Report on page 1

Under Financial Reporting Standard 1 (revised 1996), the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the undertakings for the 52 week period ended 24 December 2011 The comparative period covers the 52 weeks ended 25 December 2010

RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd, and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd It also includes management charges received for managing the rentals Rental income is accued on a time basis by reference to the agreement entered into

FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and net of any provision for impairment Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 years Short leaseholds are depreciated over the life of each individual lease

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

Except where otherwise required by accounting standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset, and
(b) gains on sale of assets where those assets have been rolled over into replacement assets

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Depreciation - owned assets	1,182	938
Impairment – owned assets	-	799
Rentals paid on property operating leases	29,177	28,958
Loss on disposal of short leasehold properties	-	67

The analysis of auditor's remuneration is as follows

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Fees payable to the Company's auditors for the audit of the Company's annual accounts	10	10
Total audit fees	10	10
Tax compliance services	12	10
Total non-audit fees	12	10

3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees *(2010 nil)*, and staff costs amounted to £nil *(2010 £nil)*

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period *(2010 none)*

5. FINANCE CHARGES

Other finance charges	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Interest paid on rent reviews	2	4
	2	4

6. TAXATION

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Current tax charge for the period	701	368
Adjustment in respect of prior years	386	(5)
Deferred taxation (note 11) - current year	(6)	(74)
- adjustments in respect of prior year	(42)	14
Tax charge on profit on ordinary activities	1,039	303

6. TAXATION (Cont'd)

The current corporation tax charge for the period is higher than the standard rate of corporation tax of 26 5% for the following reasons

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Profit on ordinary activities before taxation for the period	**1,624**	950
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 26 5% *(2010 28 %)*	**431**	266
Effects of		
Depreciation in excess of capital allowances	**294**	84
Movement on short term timing differences	**(23)**	
Profit on disposal of non-qualifying fixed assets		18
Prior year adjustment	**385**	(5)
Current tax charge for the period	**1,087**	363

7. TANGIBLE FIXED ASSETS

	Land & freehold properties £000	Leasehold properties under 50 years £000	Total £000
Cost or valuation			
At 25 December 2010	926	18,050	18,976
Additions	-	1,893	1,893
Disposals	-	-	-
At 24 December 2011	**926**	**19,943**	**20,869**
Depreciation			
At 25 December 2010	(165)	(4,561)	(4,726)
Charge for the year	(8)	(1,174)	(1,182)
Impairment charge	-	-	-
Disposals	-	-	-
At 24 December 2011	**(173)**	**(5,735)**	**(5,908)**
Net book value			
At 25 December 2010	761	13,489	14,250
At 24 December 2011	**753**	**14,208**	**14,961**

Land & freehold properties at cost includes land of £514,000 (*2010 £514,000*) on which depreciation is not charged

8. DEBTORS

Amounts falling due within one year	24 Dec 2011 £000	25 Dec 2010 £000
Trade debtors	**43**	113
Amounts owed by parent and fellow subsidiary undertakings	**14,179**	9,682
Prepayments and accrued income	**7,155**	6,629
VAT	**1,820**	1,523
	23,197	17,947

9. CREDITORS

Amounts falling due within one year	24 Dec 2011 £000	25 Dec 2010 £000
Trade creditors	**393**	130
Amounts owed to parent and fellow subsidiary undertakings	**30,256**	24,755
Corporation tax	**702**	368
Accruals and deferred income	**4,171**	4,755
	35,522	30,008

10. PROVISIONS FOR LIABILITIES AND CHARGES

Movements during the period were as follows

	Deferred Taxation £000	Property provision £000	Total £000
At 25 December 2010	390	175	565
Charged	-	70	70
Released	-	(160)	(160)
Utilised	(48)	-	(48)
At 24 December 2011	**342**	**85**	**427**

11. DEFERRED TAXATION

An analysis of the deferred tax liability provided in the accounts is as follows

	24 Dec 2011 £000	25 Dec 2010 £000
Accelerated capital allowances	**363**	390
Other timing differences	**(21)**	-
	342	390

Provision at the start of the period	**390**
Credit to the profit & loss account during the period	**(6)**
Adjustment in respect of prior periods	**(42)**
Provision at the end of the period	**342**

There is no unprovided deferred tax

12. AUTHORISED AND ISSUED CALLED UP SHARE CAPITAL

	24 Dec 2011	25 Dec 2010
	£	£
100 authorised ordinary shares of £1 each	**100**	100
1 allotted, called up issued and fully paid ordinary share of £1	**1**	1

13. RECONCILIATION OF MOVEMENTS IN EQUITY SHAREHOLDERS FUNDS

Movements in share capital and reserves during the period were as follows

	Share Capital Account £000	Profit and loss Account £000	Shareholders' Funds £000
At 25 December 2010	-	1,624	1,624
Profit for the period	-	585	585
At 24 December 2011	**-**	**2,209**	**2,209**

14. FINANCIAL COMMITMENTS

At 24 December 2011 the annual commitments under non-cancellable operating leases for land and buildings were as set out below

	24 Dec 2011	25 Dec 2010
	£000	£000
Operating leases which expire		
Within one year	**760**	475
Between two and five years	**9,653**	7,170
After five years	**19,110**	20,277
	29,523	27,922

There were no such commitments for other assets

15. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary